Hot US inflation and the prospect of a more aggressive response from the Fed are the themes dominating FX markets currently. Another dose of firm US PPI today and some more hawkish Fed rhetoric are set to keep the dollar very supported into next week



Chris Turner, Frantisek Taborsky and Francesco Pesole

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Please see ING's FX Outlook 2027: Fat tails, slim ranges for insights into key themes next year.

USD: Do not stand in the way of the dollar

This week has seen a powerful, macro-driven rally in the dollar. Short-dated US yields are close to 40bp higher since Tuesday morning, when the Federal Reserve's Christopher Waller mused over the need for a 50bp hike in December. The market has since

adopted the view that back-to-back December and January hikes look likely, while extending the full Fed adjustment from here to a full 85bp of tightening. That's beginning to look a lot more like a cycle than the kind of modest adjustment we recently presented in our house baseline view. Notably, a few Fed members are starting to describe conditions more as a demand than a supply shock.

It is hard to see what is going to change this hawkish Fed/dollar-positive mindset in the next few weeks. The Fed centrists might try to emphasise the need for a gradual adjustment in policy, but it is probably only a big US tech sell-off that can put a dent in short-dated US yields now.

In terms of the FX reaction, the low-yielding Swiss franc and the yen

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preferred PCE inflation data – the next release of which is on 25 November. Were that core PCE to rise 0.3% month-on-month for the third month in a row, expectations of a 50bp December hike would grow.

DXY has broken to a new high for the year and looks like it can push on to the next resistance level at 104.60. That's about a 1.5% advance from current levels and would be consistent with EUR/USD trading around 1.0880.

Chris Turner

EUR: ECB struggles to outhawk the Fed

European Central Bank rhetoric firmly points to the need for a rate hike in December. The problem for EUR/USD is that the market sees the potential for a prolonged tightening cycle as more credible in the US than in the eurozone. You don't hear many ECB speakers talking of a demand shock in Europe. Short-dated EUR/USD swap differentials have moved out to the widest levels of the year and are clearly weighing on the pair.

Given the run of expected US inflation data over the coming weeks, we struggle to see what can take the pressure off EUR/USD. A break below 1.10 is not a given, but that level is certainly at risk into year-end. EUR/USD bulls will have to be hoping for either an AI crash, the ECB sounding far more hawkish or perhaps some major g

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slowdown. Poland will also release its final inflation reading for October, expected at 3.5%, and on Monday, we'll receive the core inflation figure, which we estimate has slowed to 2.8%.

In Turkey, inflation expectations for November will be published. Yesterday, the Central Bank of Turkey revised its inflation forecast for next year from 15% to 21%, bringing it closer to the current market expectation of 23% but also opening the door to a December rate cut. The Czech National Bank will release the minutes from last week's meeting, during which it raised interest rates by 25bp to 4.00%. However, the 4-3 vote split sent a dovish

signal, and today we will learn how individual members voted and see the details of the discussion.

The CEE market remains under pressure. Yesterday's surge in energy prices and new lows in the EUR/USD pair are pushing regional FX to new lows. In line with our bearish bias, we believe this is far from over. EUR/HUF could test 366, but we believe the 368-370 range remains an area for new sellers to enter, effectively capping the pair. Meanwhile, the National Bank of Hungary is expected to take a firm stance next week and avoid rushing into rate cuts despite low inflation, which could support the forint, given that one to two rate cuts are currently priced in.

EUR/CZK reached new local highs yesterday, nearing 24.400. We b
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has started to propose some fiscal consolidation for the 2027 budget, and we presume more is coming.

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While Brazil's fiscal story is vulnerable, its monetary story is supportive for the real. High real interest rates and an independent central bank make the Brazilian real an expensive sell. We look for a recovery in 2027. Please see the Latam section in our 2027 FX Outlook for more.

Chris Turner

FX

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